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NATURE OF PROCEEDINGS: Hearing on Motion for Order Approving Receiver’s Final Report and Accounting

The Motion for Order Approving the Receiver’s Final Report and Accounting filed by Kevin Singer is granted in the requested amount of $82,770.57.

BACKGROUND

Plaintiffs Michael N. Koenig and Lauren M. Koenig, individually and derivatively on behalf of Centralia Limited Investors, LP (Centralia Limited), (collectively “Plaintiffs”) filed this action against numerous defendants, including Centralia Apartments, Centralia Limited Investors, LP, Pioneer Limited Investors, LP, Donald Hollingshead (through the personal representative of the Hollingshead Estate, Marcie Holland), Centralia G.P., LLC, InAmerica Holdings, LLC, Debra L. Duggan and Proland Management Company, LLC (Proland) (collectively “Defendants”), alleging that they inherited their father’s 9.986% interest in Centralia Limited, which in turn owns 75% of Centralia Apartments. Centralia Apartments owns a low-income apartment complex located at 21114 S. Pioneer Boulevard, in Lakewood, California.

On November 30, 2022, a predecessor judge granted Plaintiff’s motion for an order appointing “Kevin A. Singer as Receiver for the purpose of managing and protecting [¶] the affairs and interest of Centralia Limited and its Limited Partners as to Centralia Apartments and peripheral matters.” The appointment order did not define the Receiver’s duties, authority, compensation, or bond.

On May 10, 2023, another predecessor judge denied Defendants' motion for a statutory buyout pursuant to California Corporations Code section 15908.02 and motion for reconsideration of the order appointing a receiver.

Defendants subsequently appealed the denial of the buyout motion and the appointment of the receiver. In a partially published opinion, the Court of Appeal reversed the denial of the buyout motion, affirmed the appointment of the receiver, and remanded the case for further proceedings. (Koenig v. Centralia Limited Investors (2025) 112 Cal.App.5th 1174, 1178 (Koenig).)

On January 15, 2026, the Court granted Defendants' Motion to Proceed with Setting a Bond and Motion for Reconsideration of the Court's Order Appointing a receiver. In the January 15 Minute Order, the Court ordered Centralia Limited to pay the cost of the receivership in an amount fixed by a Motion filed by the Receiver.

The Receiver filed the Motion. Defendants filed an Opposition.

On May 26, 2026, the Court continued the hearing and authorized supplemental briefing. The Receiver filed a Supplemental Brief in support of the Motion, and Defendants filed a Response.

LEGAL STANDARD

"'Receivers are entitled to compensation for their own services and the services performed by their attorneys. [Citation.] Generally, the costs of a receivership are paid from the property in the receivership estate. [Citations.] However, courts may also impose the receiver costs on a party who sought the appointment of the receiver or "'apportion them among the parties, depending upon circumstances.'" [Citation.] Courts are vested with broad discretion in determining who is to pay the expenses of a receivership, and the court's determination must be upheld in the absence of a clear showing of an abuse of discretion. [Citations.]' [Citation.]" (Southern California Sunbelt Developers, Inc. v. Banyan Limited Partnership (2017) 8 Cal.App.5th 910, 922.) "The amount of fees awarded to a receiver is 'in the sound discretion of the trial court and in the absence of a clear showing of an abuse of discretion, a reviewing court is not justified in setting aside an order fixing fees.' [Citation.]" (Melikian v. Aquila (1998) 63 Cal.App.4th 1364, 1368.)

ANALYSIS

The Receiver requests a total of $82,770.57 in fees and expenses.

I. Legal Disputes

First, Defendants argue that the Receiver's fees are excessive because they largely relate to expenses incurred in legal disputes rather than to managing the property.

This argument is without merit. As noted above, "[t]he rule is well established that the compensation to be allowed receivers and their attorneys is primarily within the sound discretion of the trial court." (Venza v. Venza (1951) 101 Cal.App.2d 678, 680.) Moreover, the Receiver was entitled to seek clarification as to his responsibilities when the initial order was ambiguous. Defendants' subsequent efforts to challenge the receivership required the Receiver to incur legal costs to carry out his duties.

II. Employment of Attorneys Under Rule 3.1180

The Court's May 26, 2026, tentative ruling determined that California Rules of Court, rule 3.1180 applies to the Receiver's employment of the in-house attorneys who performed legal work in this matter, and that the Receiver did not submit the written application the rule requires before employing them. The Court adheres to that determination. The rule provides that a receiver "must not employ an attorney without the approval of the court," and that the application must state the necessity for the employment, the name of the attorney the receiver "proposes to employ," and that the attorney is not associated with or employed by an attorney for any party. (Cal. Rules of Court, rule 3.1180.) The Receiver used licensed attorneys from his firm to draft his court filings and to appear on his behalf, without first obtaining court approval.

The Receiver no longer contends that rule 3.1180 is inapplicable. He now submits a written application under the rule and asks the Court to approve his employment of John Rachlin, Jackson Wyche, and Allie Farinacci nunc pro tunc. Defendants respond that nunc pro tunc relief is unavailable and that the Receiver's authorities do not permit retroactive approval. Two questions follow: whether the Court may approve the employment after the fact, and, if so, whether it should do so here.

A. Retroactive Approval and Nunc Pro Tunc

A nunc pro tunc order corrects a clerical error in the record. It enters "now for then" an order the court in fact previously made, and cannot be used to enter a new order the court never made. (Estate of Eckstrom (1960) 54 Cal.2d 540, 544.) To the extent the Receiver asks the Court to amend the appointing order to insert an approval that was never granted, that request is denied. There is no prior approval in the record to correct.

That does not resolve the motion, because a different doctrine governs the substance of the Receiver's request. A court retains continuing equitable supervision over its receiver, and "[a] receiver may act without prior approval of court and have his acts subsequently ratified." (Maggiora v. Palo Alto Inn, Inc. (1967) 249 Cal.App.2d 706, 713 (Maggiora), citing Rochat v. Gee (1902) 137 Cal. 497, 500.) "In a proper case, an action of a receiver in equity, though taken without prior court authorization, may be ratified by subsequent court approval." (People v. Riverside University (1973) 35 Cal.App.3d 572, 582 (Riverside).) This is ratification, not nunc pro tunc correction. The Receiver's authorities, Maggiora and Riverside, are ratification cases. The authorities Defendants invoke concern nunc pro tunc correction of a judgment. The Receiver's choice of label does not control. The Court considers whether ratification is warranted.

B. Ratification of the Receiver's Employment of Counsel

Ratification of a receiver's unauthorized act turns on two considerations: "[w]here a receiver has acted in good faith and when what he had done has been beneficial to the interested parties, his acts, though taken without court authorization, should be subsequently approved." (Riverside, supra, 35 Cal.App.3d at p. 582.) Maggiora's reference to an "emergency" explains why prior approval is often impossible; it is not a rigid precondition to ratification. (Maggiora, supra, 249 Cal.App.2d at p. 713.) Nor does the appointing order's requirement of prior approval foreclose ratification. The Rules of Court in Maggiora likewise required the receiver to obtain consent before employing counsel; the receiver did not do so, and the court ratified the employment notwithstanding. (Ibid.) Ratification would mean little if it were unavailable whenever prior approval was required.

1. Good Faith

The record supports a finding of good faith. In the declaration the Receiver executed before his appointment, he disclosed the hourly billing rates for the professionals in his office and affirmed that no one in his office is associated with or employed by any party in this matter; the attached firm resume identified Rachlin as an attorney and partner. (Singer Decl. ¶ 8, Ex. 1.) The two substantive concerns rule 3.1180 addresses, that a receiver not charge the estate unapproved rates and not employ a conflicted attorney, were thus disclosed to the parties and the court at the outset, and the rates were later approved. The Receiver also declares that he has followed this practice across many appointments, without any prior court requiring a separate rule 3.1180 application. (Singer Decl. ¶¶ 5, 7.) The order's counsel provision, moreover, appears in a paragraph addressed to the institution of ancillary proceedings, which lends some support to the Receiver's reading that it governed only outside representational counsel.

Defendants respond that the Receiver drafted the appointing order himself, that the order expressly conditioned any engagement of legal counsel on prior approval under rule 3.1180, and that a receiver of the Receiver's experience should have complied. That is a fair criticism, and the Court does not endorse the Receiver's reading of the rule. But good faith in this context asks whether the receiver acted honestly and without concealment or self-dealing, not whether his legal interpretation was correct. The Receiver disclosed his firm's rates and personnel, did not hide that his team included an attorney, and billed below-market rates. On this record, the Court finds the Receiver acted in good faith.

2. Benefit to the Estate

The legal work benefited the receivership. The Court has already found that the "employment of attorneys was reasonably necessary for Receiver to perform his role." The appointing order was ambiguous. It did not define the Receiver's duties, authority, compensation, or bond, and the Receiver was entitled to seek clarification. The invoices confirm that the attorneys' time was spent preparing the Receiver's required court filings, including the final accounting the Court ordered him to file, and responding to the parties' numerous ex parte applications, motions, and challenges to the receivership. That work served to preserve and administer the estate, and the professionals billed at rates well below what outside counsel would have charged.

Defendants argue that Maggiora and Riverside are distinguishable because they involved emergencies and because here, the Receiver's counsel produced no benefit: the apartment complex remained in operation under Proland, the Receiver never took possession, and much of the legal work occurred during stays or served only to defend or expand the Receiver's own role. The Court is not persuaded. As explained, an emergency is not required. And the premise that the work did not benefit the estate is inconsistent with the Court's prior finding of necessity and with the invoices, which show that the Receiver largely responded to filings generated by the parties themselves. A party that repeatedly moves against a receivership cannot fairly complain that the receiver incurred fees responding. Defending the receivership and seeking instructions are ordinary incidents of administering the estate, not services rendered for the Receiver's benefit alone.

The Court is mindful that rule 3.1180 serves an important gatekeeping function, and that ratification should not become a routine substitute for compliance. But the rule's purposes are substantially served here: the rates and the absence of any conflict were disclosed and approved, the necessity of the work is established, and the Receiver has now submitted the application the rule requires and subjected his employment of counsel to the Court's scrutiny. Denying compensation for work that was performed, necessary, and beneficial would principally confer a windfall on the litigants who received the services, a result equity disfavors. The Court concludes that ratification is warranted. Accordingly, the Court approves the Receiver's employment of John Rachlin and Jackson Wyche and awards $82,770.57, as requested.

CONCLUSION

Kevin Singer's Motion for Order Approving the Receiver's Final Report and Accounting is granted in the full requested amount of $82,770.57. Centralia Limited is ordered to pay the fee within thirty days.